



P.O. Box 70000
Van Nuys, CA 91470

[date]

«FirstName» «LastName», «Title»
«Address»
«City», «St» «Zip»

RE: Valley Children's Hospital / Notification of Contract Termination

Dear Sir or Madam:

This letter is to inform you that Valley Children's Hospital (Valley Children's) agreement with Anthem Blue Cross (Anthem) has terminated effective July 1, 2026. As a result, Valley Children's will no longer be part of the Anthem Commercial Network. From that date forward, Anthem generally will no longer authorize or approve scheduled or elective admissions to Valley Children's for Anthem or Anthem Life and Health Insurance Company members.

Before receiving services at Valley Children's, Anthem members should be advised by hospital personnel that the Agreement terminated on July 1, 2026. The contract termination could affect the out-of-pocket obligations of Anthem HMO and Point of Service (POS) members using their PPO benefits who receive care at Valley Children's.

What Valley Children's Termination Means for HMO Medical Groups/IPAs:

1. Admitting Privileges at Alternate Anthem Participating Facilities

As you know, the *Prudent Buyer Plan Participating Physician Agreement* requires that members be admitted to an Anthem participating facility to ensure they receive the maximum possible benefits from their plan. Consequently, it is necessary for participating physicians who admit patients to Valley Children's to have medical staff privileges or make alternate admitting arrangements at Anthem participating hospitals. Below is a partial list of alternate participating general acute care hospitals:

- Children's Hospital & Research Center at Oakland
- Children's Hospital Los Angeles
- Clovis Community Hospital
- Fresno Surgical Hospital
- Lucile Packard Children's Hospital
- Saint Agnes Medical Center

Note that the alternate facilities may not be participating in all Anthem networks. Anthem members have been advised to verify with both their provider and the Anthem website at www.anthem.com/ca that the alternate facility is participating in their benefit plan's network. For a complete listing of alternate contracted facilities, including general acute care hospitals, ambulatory surgery centers, laboratories and radiology centers, and dialysis centers, to which Anthem and Anthem Life and Health Insurance Company members may be directed, please reference our website noted above. If you have questions or need additional information, please send an e-mail to <https://www.anthem.com/ca/provider/contact-us/>.

2. Continuity of Care/Completion of Covered Services (COC) for Anthem and Anthem Life and Health Insurance Company Members

In addition to any COC rights under Federal Law, there can be rights under California State Law.

- a. Federal Law provides potential COC rights. This includes care if any of the below apply. Members should contact Anthem at the toll-free customer service number, 1-844-971-0117, or the toll-free member services number on their ID card, if they believe they qualify:

Under federal law, this includes care if you are:

- In treatment for a serious and complex condition. This can be a sudden (acute) illness that requires specialized treatment in order to avoid death or permanent harm. It can also be an ongoing (chronic) illness that is life threatening or potentially disabling and requires specialized care over a long period of time.

Anthem is the trade name of Blue Cross of California. Anthem and Anthem Life and Health Insurance Company are independent licensees of the Blue Cross Association. Anthem is a registered trademark of Anthem Insurance Companies, Inc.



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- In a hospital or other inpatient facility.
 - Scheduled for non-elective surgery by your current doctor, including your post-operative care for the surgery.
 - Pregnant.
 - Terminally ill.
- b. California law also provides for completion of covered services/continuity of care for certain medical conditions following a provider's termination *if, among other things, the provider and the plan agree on a rate of payment*. Anthem has offered a rate of payment to Valley Children's for completion of covered services/continuity of care. Unfortunately, Valley Children's has not accepted the rate Anthem offered. Therefore, completion of covered services/continuity of care at Valley Children's will not be available under California State Law. Physicians should direct Anthem Blue Cross and Anthem Blue Cross Life and Health Insurance Company members, when appropriate, to alternate participating hospitals.

If an Anthem patient was in-patient at Valley Children's at the time the contract terminated, he or she will receive uninterrupted care at the facility until discharged or, if medically appropriate, until he or she may be safely transferred to a facility that participates in the Anthem Blue Cross network.

Services on/or After July 1, 2026

Although completion of covered services/continuity of care will not be provided at Valley Children's, the Anthem Customer Service Department will forward PPO member/physician requests for care at Valley Children's to the Utilization Management Department for case review pursuant to the Anthem out of network referral policy.

When an out of network referral is approved by Anthem, the member's in-network benefit levels will apply. However, again, it is important to remember that because Valley Children's is no longer in Anthem's hospital network, our members may be responsible for higher out of pocket expenses, depending on their benefit plan/evidence of coverage. *Note:* There may be different arrangements for certain self-funded/self-insured Anthem accounts/clients.

Anthem's Customer Service staff or the Case Management's clinical staff will work directly with patients who are in a course of treatment at Valley Children's to transition their care to participating facilities.

3. *The California Department of Managed Health Care (DMHC) has mandated that, for members enrolled in benefit plans regulated by the DMHC, contracted providers and medical groups may continue to refer members to Valley Children's Hospital for services rendered on or after July 1, 2026, but only as specifically described below. Eligible services will be covered at in-network benefit levels, subject to the conditions outlined below:*

Valley Children's Hospital

The Plan will allow its contracted providers and provider groups to continue referring pediatric services to Valley Children's after July 1, 2026, and to continue to allow all affected enrollees to receive at Valley Children's after July 1, 2026 for:

- a. any medically necessary services available at Valley Children's, but not available or cannot be scheduled in a timely manner consistent with good professional practice at an Alternate Hospital or other in-network contracted hospital facility within a reasonable geographic distance, such medically necessary services include, but are not limited to, the following services, or services within the following specialties: Acute Neonatal, Acute Pediatric, Heart Center / Cardiology, Pediatric Surgery, Orthopedics, Neuroscience Center / Neurology, ECMO (NICU specialties/services), Neonatology / NICU, Maternal Fetal Center / Maternal Fetal Medicine, Gastroenterology, and Cancer & Blood Disorders / Hematology-Oncology or
- b. any medically necessary services available at Valley Children's where an in-network provider holds admitting privileges at Valley Children's and is unable to admit enrollees to an Alternate Hospital or other in-network contracted hospital facility within a reasonable geographic distance in a timely manner consistent with good professional practice, or



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- c. any medical necessary services available at Valley Children's which, due to insufficient capacity, an enrollee may not be able to access at an Alternate Hospital or other in-network contracted hospital facility within a reasonable geographic distance in a timely manner consistent with good professional practice.

4. Emergency Admissions

Emergency medical services do not require pre-authorization regardless of where services are delivered. Valley Children's must still provide services for Anthem members requiring emergency health services. This coverage will be provided according to our members' policy benefits.

Anthem patients who have questions about care at Valley Children's following the termination should be directed to call their medical group or our toll-free customer service number, 1-844-971-0117, or the toll-free member services number on their ID card. The Anthem Customer Service staff is available to help our members with concerns about their ongoing care.

Thank you for your continued support during this transition.

Sincerely,

Jo Ann Nishimoto, MD, MBA, FAAP
Director of Medical Operations